

Demand

Markets

- A *market* refers to the buyers and sellers who trade a particular good or service.
 - Markets can be located locally, globally, or even virtually. ●
- One special type of markets is the competitive market. ●
Competitive market - a market that has many buyers and many sellers.
- In this chapter, markets are assumed to be perfectly

competitive.

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Demand

- If you demand something, then you
 - Want it
 - Can afford it, and
 - Plan to buy it
- *Demand* reflects a decision about which *wants*

to satisfy.

Demand

- As a group, consumers determine the *demand* for a product.
- The *quantity demanded* is the amount of a particular good or service that consumers plan to buy during a given time period at a particular price.

Law of Demand

Law of Demand:

*Other things remaining the same, the **higher** the price of a good, the **smaller** is the quantity demanded; and the **lower** the price of a good, the **greater** is the quantity demanded.*

Law of Demand

- *Substitution effect* - when price of a good increases, the demand for its *substitutes* (alternatives) will increase.

Substitute goods - goods that can replace each other.

- *Income effect* - when price of a good increases,

the quantity demanded decreases for that good.
Income remains unchanged.

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The demand schedule

- A *demand schedule* displays the quantities demanded at various prices.
- This demand schedule provides the quantity of cellphones demanded at specific prices.
- Notice that as price falls, the quantity demanded increases.

Cell phones (millions)
Price (\$)

30	180
60	160
90	140
120	120
150	100

180	80
210	60
240	40

27020

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The demand curve

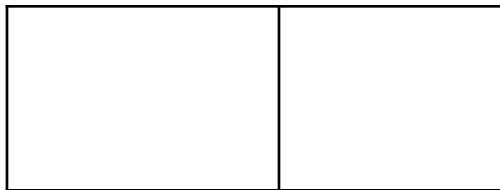
The *demand curve* illustrates the relationship between the quantity demanded and the price of the good, holding all of the other non-price determinants constant.

220 Price (\$) 200

Cell phones (millions)
Price (\$)

180 160 140 120 100 80
60

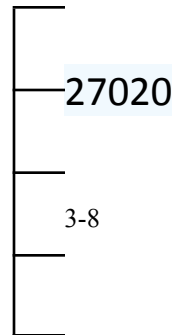
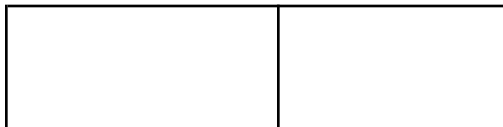
40
20
0



1. As the price decreases...

30 60 90 120 150 180 210 240 270
Quantity of cell phones (millions)

2. ...the quantity demanded increases.



1
1
2
2

Changes in demand

- The six most important *non-price determinants of*

demand are:

Price of related goods	Expected future prices
Income	Expected future income
Population	Preferences

- What happens when one of the non-price determinants changes?

Prices of related goods

The quantity of a good that consumers plan to buy depends on the prices of its *substitutes* and *complements*.

A complementary good is a product or service that adds value to another.

- *Price of a substitute rises > demand for the good rises*
- *Price of a complement rises > demand for the good falls*

Income

Income increases > demand increases

Income decreases > demand decreases

Is the above relationship true for all goods?

Normal good - a good for which demand increases as income increases.

Inferior good - a good for which demand

decreases as income increases

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Expected future prices and incomes

- If the price of a good is *expected* to rise in the future, the demand for the good increases and vice versa.
- If the income is *expected* to rise in the future, the demand increases and vice versa.

Population and Preferences

- Demand depends on the size and the age structure of the *population*.
- *The larger the population, the greater is the demand for all goods and services and vice versa.*

- Demand also depends on *preferences*.
- Preferences - a greater liking for one alternative over another or others

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demand curve

Price (\$) 240

200

160

Shifting the

- When demand increases, the

demand curve shifts

120 80

40

0

D_B

D_A

D_c

0 60 120 180 240 Quantity of cell
phones (millions)

to the right.

- When demand

decreases, the
demand curve
shifts to the left.

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Shifts vs Movements

If a non-price determinant changes, then the demand curve shifts with changes in the quantity demanded at every

price. **Price (\$)**

240

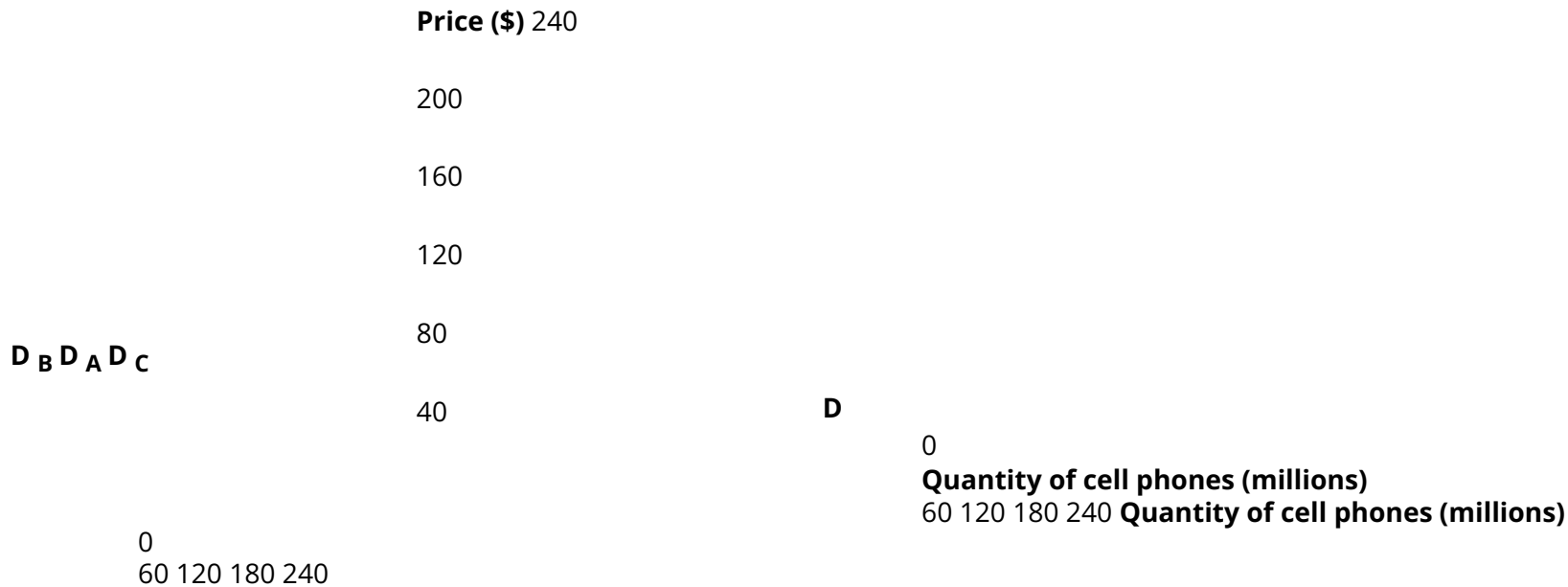
200

160

120

80

40



If a non-price determinant changes, then the demand curve shifts with changes in the quantity demanded at every price.

If the price increases, then quantity demanded decreases and there is a movement along the demand curve.

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Example: Shifts vs movements

Indicate whether a shift or movement occurs in the market for cellphones when each of the following determinants changes.

- Advertising causes individuals to prefer cellphones over home phones.
- Cellphones go on sale.
- Cellphone calling plans become more expensive.

Shifts vs. movements

Advertising causes individuals to prefer cellphones over home phones.

Price (\$) 240

200

160

120

80

40

• Change in

preferences towards the good.

D_B

- Increase in demand. D_A
- Demand curve shifts

0
0 60 120 180 240 Quantity of cell
phones (millions)

right.

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Cellphones go on sale.

Price (\$) 220

200

180

160

Shifts vs.
movements

- Sales imply the price is going down.

1. As the price decreases...

140 120 100 80

60

40

20

0

2. ...the quantity demand
increases.



30 60 90 120 150 180 210 240 270 Quantity of cell phones (millions)

- This causes a
movement along

the demand curve. 3-18

Shifts vs. movements

Cellphone calling plans become more expensive.

Price (\$) 240

200

160

120

80

40

- Change in related good.
- Cellphone plans are complements to cellphones.
- Since the complement

becomes more expensive,

D_A

the demand decreases.

D_B

0

0 60 120 180 240 Quantity of cell phones (millions)

- Demand curve shifts left.

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Summary

- *Key concepts:*
 - Competitive Markets
 - Law of Demand
 - Demand schedule vs curve
 - Changes in demand

- Demand shifts vs movements

- *Reading: Chapter 3 of “Economics” by Parkin, Powell, Mathews 6th Ed.*